J&A Control Number JA25-00048

JUSTIFICATION FOR OTHER THAN FULL & OPEN COMPETITION

AUTHORITY: FAR 6.302, 41 U.S.C. 253(c)

Requirement Title / Name: Capacity Increase, Navajo MATOC

Purchase Request Number: N/A

Originating Office (Customer): Assistant Secretary/Indian Affairs

Division / Unit / Branch: DFMC

1. This is a justification for other than full and open competition.

Agency: Indian Affairs

IA Acquisition Office: A16 Central Office - Construction

2. Nature and/or description of the action being approved:

Requirement: Modification to existing IDIQs

Pricing: Firm-Fixed Price

Proposed Contractor/Vendor:

Rock Gap Engineering, LLC
Address: 6759 Academy RD NE
Albuquerque, New Mexico 87109
Phone: 505-344-2366

Suh'dutsing-Pilkington Construction JV, LLC
Address: 600 N. 100 E., Suite M
Cedar City, UT 84721
Phone: 435-867-0604

Sealaska Constructors, LLC
Address: 1200 6th Ave, Suite 800
Seattle, WA 98101
Phone: 206-209-1719

4M General Contractors, LLC
Address: 9848 Wind Avenue
Lakeland, FL 33809
Phone 813-924-6602

AMES 1, LLC
Address: 3045 Mountain View Drive
Anchorage, AK 99501
Phone: 907-344-0067

Greenberg Construction
Address: 225 E. Germann Rd, Suite 201
Gilbert, AZ 852978
Phone: 602-956-0112

Apex Modular Group
Address: 3982 Powell Rd, Suite 236
Powell, OH 43065
Phone: 972-646-2244

Walga Ross Group 3 JV
Address: 407 S Pennsylvania Ave
Joplin MO 64801-2281
Phone: 785-234-1137

A description of the supplies or services required to meet the agency's needs (including the estimated value):

Indian Affairs (IA) has an on-going need for a full range of construction services including design/build and design/bid/build projects for new construction; demolition, repair, alteration, and renovation of buildings; systems and infrastructure in the Navajo Region. To meet this need, IA awarded a multiple award task order contract (MATOC) in FY2021 called the BIA Navajo Region Construction MATOC. This contract had a ceiling of $40M covering all MATOC holders, and an ordering period ending on 29 September 2026, inclusive of a base and 4 option periods. The NAICS Code is 236220, Commercial and Intuitional Building Construction, with a size standard of $45M. The Product and Service Code (PSC) is Z2AZ – Repair or Alteration of Other Administrative Facilities and Service Buildings.

Due to a systemic error that is currently being addressed, IA has exceeded the $40M ceiling by $6,410,056.79. After learning of this error, all ordering and modifications to existing task orders were immediately halted across IA organizations: Assistant Secretary/Indian Affairs (AS/IA), Bureau of Indian Affairs (BIA), and Bureau of Indian Education (BIE.) Re-procurement of the Navajo MATOC was already underway when this error was identified, but award of a new MATOC is not forecast until the end of FY26.

IA has currently obligated $46,410,056.79 under the Navajo MATOC across 215 contract actions including 37 task orders for construction work. Of those 37 task orders, 13 still have active construction with a total unliquidated obligation of approximately $9.5M.

Currently, there is a negotiated task order ready for award with a contract price of $1,831,016.24. This task order for a facilities repair project for boiler and roof work at Many Farms High School supports critical infrastructure with student health implications and needs to be awarded as scheduled.

Additionally, the 13 active task orders and the new task order for Many Farms High School may require modifications. Construction contracts are frequently subject to differing site conditions and other unforeseen situations, and IA requires enough capacity to respond to these issues with modifications as needed. Typically, a 10% contingency is anticipated for construction contracts. This would amount to a $1M contingency for modifications. We are requesting almost $5M for modifications in an abundance of caution. This ceiling increase for contingency will only be used to address modifications to existing contracts and to the Many Farms project discussed above.

A $13M increase in the amount of the ceiling of the Navajo MATOC will assure that IA's program needs are met. This will increase the final total ceiling amount of the IDIQ to $53M. This $13M increase is comprised of:

$6,410,056.79 for over-obligation

$1,831,016.24 for the pending task order, and

$4,758,926.97 contingency for modifications on existing task orders.

Current ceiling for the IDIQ: $40,000,000.00

Current dollar value that has been used: $46,410,056.79

Amount ceiling will be increased by: $13,000,000.00

Final Total Ceiling Amount via this modification/increase: $53,000,000.00

3. An Identification of the statutory authority permitting other than full and open competition:

FAR 6.302-1 -- Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements. 41 U.S.C. 3304(a)(1)

4. A demonstration that the proposed contractor's unique qualifications or the nature of the acquisition requires use of the authority cited.

It may seem counterintuitive to use the authority at FAR 6.302-1 – Only One Responsible Source when eight contractors are involved. However, for each obligation using this increased ceiling, only one responsible source will exist.

In the case of the $6,410,056.79 over-obligation, the task orders awarded are already underway and need to be completed by the selected contractors. Terminating these orders for convenience and re-procuring under a new contract arrangement would result in significant delays to mission requirements, increased costs from termination for convenience settlements, and reduced quality of services as the re-procurement contractors pick up projects that are already partially complete.

In the case of the $1,831,016.24 for the task order, the alternative of cancelling the solicitation and re-procuring under a new contract arrangement would result in a delay of 4-6 months. This timeframe is an estimate based on similar past projects procured using similar methods, i.e. task orders under multiple award arrangements for facilities maintenance and repair at schools. If the task order is awarded under the current Navajo MATOC, the predominance of the 205-day duration of work will be performed during the spring and summer months. Work during the summer would not disrupt school operations, although not all work could be accomplished during the summer. Delay in award of 4-6 months caused by re-procurement would naturally cause the predominance of the work to occur in the autumn and winter months. Many Farms, AZ experiences average winter temperatures of 20-40F and an average of 5 inches of snow per year. Failure of the roofing system or boiler during winter months would have a much higher impact on the school, potentially causing school closures or exposing students to dangerous conditions. Most winter work would also need to occur while school was in session, increasing the risk of disruption to both the construction work and to the school. It is imperative that these issues with the school facility be addressed before next winter, which cannot happen with delays of 4-6 months. Therefore, the selected contractor under the Navajo MATOC is the only responsible source that can provide these services in the time required.

For the $4,758,926.97 contingency for modifications on existing task orders, only the awarded contractor for each task order can complete modifications under that task order. Modifications for differing site conditions and other unforeseen situations on construction contracts are not severable from the construction work and must be performed by the contractor completing the construction work.

For example, on a contract for roof repairs where unanticipated damage is found to roof support structures after the existing roof was removed, soliciting and selecting another contractor to address the support structure damage would not be possible. The roof could not remain removed for the entire time necessary to procure the services competitively, the roofing contractor would have to do additional work to secure the roof, de-mobilization, wait until the damage was repaired, and then re-mobilize to complete the contracted work. The cost impacts for that demobilization would also require a modification, and that modification could cost just as much as having the task order contractor address the issue. The time impacts to project completion, as well as the cost impacts make such an alternative unrealistic and wasteful. It is clear that the only responsible source for modification work on a construction contract is the contractor currently working on the contract.

5. A description of efforts made to ensure that offers are solicited from as many potential sources as is practicable, including whether a notice was or will be publicized as required by Subpart 5.2 and, if not, which exception under 5.202 applies.

As described above, there is only one responsible source for each task order under the current Navajo MATOC, so no efforts at soliciting from other potential sources is practicable. This notice will be posted in accordance with FAR 5.202 and 6.305(a). Indian Affairs will publish this notice at least 15 days before completing any of the contract actions described in this notice.

6. A determination by the contracting officer that the anticipated cost to the Government will be fair and reasonable.

I hereby determine that the anticipated cost to the Government for this contract action will be fair and reasonable. This determination is based on the following:

All task orders erroneously issued after the ceiling price was met and the Many Farms task order were awarded after competitive evaluations were conducted, and the contracting officer for each task order documented fair and reasonable pricing in the contract files. All modifications that will be awarded using this increased ceiling will be fully negotiated and documented using price negotiation memoranda that document fair and reasonable pricing as determined by the contracting officer for that action.

7. A description of the market research conducted (see Part 10) and the results or a statement of the reason market research was not conducted.

No market research was conducted to support this ceiling increase, because only one responsible source is available for each action anticipated under this increased capacity, as described above. However, substantial market research has been conducted related to the re-procurement of regional MATOCs including the Navajo MATOC. A sources sought notice was posted on October 29, 2024 and closed December 1, 2024. This notice was distributed widely through APEX Accelerators, regional contracting officers, and via other methods, and received 138 responses. Market research indicates that significant ISBEE participation will be available for the re-procurement of the Navajo MATOC.

8. Any other facts supporting the use of justification of other than full and open competition, such as:

Not applicable.

9. A listing of the sources, if any, that expressed, in writing, an interest in the acquisition.

Not applicable.

10. A statement of any actions, if any, the agency may take to remove or overcome any barriers to competition before any subsequent acquisition for the supplies or services required.

As described in Section 7 of this document, market research indicates substantial competition is available for the re-procurement of the Navajo MATOC.

Originating Office Attestation:

I certify that the technical data which forms a basis for this justification is complete and accurate and meets the Government's minimum needs.

Gary Mosesman Digitally signed by Gary Mosesman
Date: 2025.03.12 13:20:14 -06'00'

Gary Mosesman
Director
Division of Facilities Maintenance and Construction (DFMC)

11. Contracting Officer certification that the justification is accurate and complete to the best of the contracting officer's knowledge and belief:

I hereby certify that this justification is accurate and complete to the best of my knowledge and belief.

Jessica Kidd Digitally signed by JESSICA KIDD
Date: 2025.03.13 08:11:08 -04'00'

Jessica Kidd
Contracting Officer
Construction Branch Chief
Division of Acquisition Management
U.S Department of the Interior, Indian Affairs

ADDITIONAL APPROVALS:

CCO or One Level Above the CO ***(if the CCO is the signing CO)***
(Required for acquisitions valued between $250K - $750K)

I hereby provide concurrence that this justification is accurate and complete to the best of my knowledge and belief.

NIKOLAI MATOKA Digitally signed by NIKOLAI MATOKA
Date: 2025.03.13 09:07:11 -04'00'

~~Terry Lord, Jr.~~ Nikolai Matoka
Chief of Contracting
Division of Acquisition Management
U.S Department of the Interior, Indian Affairs

IA Competition Advocate
(Required for acquisitions valued between $750K - $15M)

I hereby provide concurrence that this justification is accurate and complete to the best of my knowledge and belief.

ERICA NEMMERS Digitally signed by ERICA NEMMERS
Date: 2025.03.19 14:38:30 -04'00'

Erica Nemmers
IA Competition Advocate